b. Freehold Property
c. Both
d. None of these

18. They are also referred to as capital assets:
a. Current assets
b. Fixed assets
c. Floating Assets
d. Circulating Assets

19. A monetary asset purchased with the idea that the asset will provide income in the future or will later be sold at a higher price for a profit is known as:
a. Machinery
b. Furniture
c. Loose Tools
d. Investments

20. The Certificate offered by the proprietor is the documentary evidence for:
a. Verification of Assets
b. Valuation of Assets
c. Verification of Expenses
d. Valuation of Expenses

21. Valuation of assets is the part of:
a. Assessment
b. Evaluation
c. Appraisal
d. Verification

22. Which of the following are the objectives of verification of assets?
a. To show correct valuation of assets
b. To find the ownership (title) of assets
c. To ensure that the assets have been recorded properly
d. All of these

23. Which of the following are the main advantages of verification of assets?
a. Avoids manipulation of accounts
b. Guards against improper use of assets.
c. Ensures proper recording and valuation of assets
d. All of these

24. Wasting assets are also known as:
a. Depreciating assets
b. Depleting assets
c. Appreciating assets
d. Inflating assets

25. Which one of the following is not an example of wasting asset?
a. Oil Wells
b. Mines
c. Quarries
d. Patent rights

26. All are fictitious assets written off except:
a. Preliminary expenses written off
b. Discount on issue of shares written off
c. Goodwill written off
d. Discount on issue of debentures written off

27. Fictitious assets are treated as:
a. Current Assets
b. Deferred Expenditure
c. Fixed Assets
d. Intangible Assets

28. Which one of the following is an example of fictitious asset?
a. Land
b. Goodwill
c. Underwriting Commissions
d. Buildings

Chapter_04.indd 61 12/23/2019 3:44:07 PM